

revenue and operating profits. The demerger is poised to drive new dimensions of growth in the future, pursuing its asset right strategy and sharper business focus aligned with industry-specific market dynamics.

“The ITC Next strategy envisions the creation of a future-ready portfolio through both organic and inorganic vectors to win today and beyond. In line with this strategy, several value-accretive acquisitions were announced this year.”

ITC Infotech, your Company's wholly owned subsidiary, also **acquired Blazeclan Technologies Pvt Ltd**, a leading cloud consulting firm, to further deepen its multi-cloud capabilities.

A new vector of growth envisioned in the ITC Next strategy is your Company's **Food-Tech Business**, which leverages ITC's strengths in Foods, Hotels and Digital technologies to tap into the fast-growing online food services segment. A delectable range of cuisines is today being offered under 4 brands, 'ITC Master Chef Creations', 'ITC Aashirvaad Soul Creations', 'ITC Sunfeast Baked Creations' and 'Sansho by ITC Master Chef'. The full-stack food-tech platform has already scaled up to **60 cloud kitchens across 5 cities**. In addition, your Company's new vectors launched under ITCMAARS and Sustainable Packaging are also making encouraging progress.

Encouraged by the promise of the Indian economy, your Company has invested in **8 world-class manufacturing facilities** in the recent past. As we continue to scale new horizons, ITC plans to invest ₹20,000 crores across businesses in the medium term.

Your Company has embedded sustainability as a bedrock of its corporate strategy and continues to raise the bar in triple bottom line performance. ITC has sustained its distinction of being the only company in the world to be **carbon-positive, water-positive and solid-waste recycling positive for nearly 2 decades** now. It continues to be on the Dow Jones Sustainability Emerging Markets Index and has retained the 'AA' rating by MSCI-ESG, as well as the Leadership score for CDP Climate and the 'A' list for CDP water. Today, **renewable sources power 52% of ITC's energy consumption**. Your Company has also been **plastic neutral for 4 years** now.

“ITC has committed to achieving Net Zero operations by 2050, entailing an even sharper reduction of emissions by over 85% in the next 25 years, despite a growing footprint.”

ITC: Shaping the Future

Amidst Global Challenges

“Enterprises of the future will need to navigate the **TURN**, that I mentioned earlier. Future readiness is not merely about adapting to change, it is about anticipating, innovating and proactively shaping the future. And this is what the ITC Next Strategy has set out to achieve, redefining the next horizon of growth and competitiveness, creating larger value for stakeholders.”

I would like to highlight 2 key pillars of this strategy, namely, the creation of a future-ready portfolio and the need to build anti-fragile supply chains.

Building a Future-Ready Portfolio

Your Company is building a portfolio across all businesses to win the markets of tomorrow, harnessing its extensive institutional synergies to seize emerging opportunities. **This is powered by a three-horizon strategy that focuses on 1) fortifying the core, 2) addressing value-added adjacencies and 3) nurturing new vectors of growth aligned to emerging trends.**

Strengthening Value Chains from Farm to Fork, Lab to Home

India's consumer market is at the cusp of a profound transformation, with per capita incomes expected to exceed \$4,000 by 2030. Gen Z is expected to account for every 2nd rupee spent by 2035. The preferences of Gen Alpha, who are growing up in a hyper-digital, socially conscious and AI-integrated world, are also vying for attention as a distinctive cohort. Segments like health & wellness, nutrition, functional foods, organic and naturals are poised to become megatrends of the future. New generation channels are also transforming the market and accentuating these trends. ITC's diverse enterprise strengths provide strategic competitive levers to capitalise on these evolving trends.

“It is our firm belief that Indian brands must adorn the global stage and towards that, establish an enduring legacy in Bharat first, before making an impact overseas.”

ITC's FMCG portfolio today accounts for an annual consumer spend of over ₹34,000 crores, reaching over **260 million households** in India and gaining encouraging consumer franchise in over **70 international markets**. Over 100 new, differentiated